

FINLAND 2015

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1. Overview of the tax-benefit system

There exists a three-tier system of unemployment benefits: a basic benefit, earnings related benefit and a means-tested benefit. The earnings related supplement is paid to insured people only; insurance is voluntary. Housing costs are covered through a separate income tested scheme. There is a social assistance scheme which guarantees a minimum income as deemed necessary for every inhabitant of the country. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2015 AW earnings level is EUR¹43536

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (**Error! Hyperlink reference not valid.**). For more information on methodology see Taxing Wages 2007-2008, OECD, 2009, part 5, sections 2 and 3.

2. Unemployment insurance

The basic benefit and the earnings related benefit are for the purposes of this study classified as unemployment insurance. The follow-up benefit (Labour Market Subsidy) is classified as unemployment assistance. The basic benefit is funded by the state and employees (share of employees' unemployment insurance contribution paid by employees that are not members of unemployment funds). The earnings related scheme is funded by the state, employers, employees and unemployment funds.

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Earnings-related unemployment allowance / Basic unemployment allowance (Ansiosidonnainen työttömyyspäiväraha / Peruspäiväraha)
Insurance is voluntary(V) or compulsory(C) for employees		basic benefit: C; earnings-related benefit: V
Employment record (E) and contribution (C) conditions		E: 26 weeks of work (minimum of 18 hours per week) in last 28 months; C for earnings-related benefit: The employment condition has to be fulfilled while being insured as a member of an unemployment fund.
Waiting period (days)		5
Maximum duration (months)		23 months (500 days, 5 days / week), if the employment record is less than three years earnings-related benefit will be paid only for 19 months (400 workdays).
Up-rating mechanism of the benefit		Basic amount and child increases are adjusted according to prices. Because the amount of earnings related benefit is linked to the basic amount the earnings-related benefit is also adjusted. Adjustments are carried out normally at the beginning of the year
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	basic flat-rate benefit EUR 32,80/day; earnings-related benefit of 45% of daily reference earnings above basic benefit and up to EUR 144,93, plus 20% of daily reference earnings excess of EUR 144,93
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base(1)	Gross excluding holiday pay less fraction of SSC
	Permitted employment and disregards when receiving unemployment insurance benefit	Adjusted unemployment benefit for taking up part-time or other irregular work with reduced hours: EUR 300/ month disregard, benefit is reduced by 50% of gross earnings above EUR 300, total income (part-time wage + benefit) cannot be higher than 100% of reference earnings.
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for children under 18
	contract type	0
	other	G: + of earnings-related benefit for workers with long careers for maximum of 90 days E: older workers are entitled to additional days (duration)

Notes:

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.2 2 for more details):

Program name (local name)		Adjusted unemployment benefit (Sovitelty työttömyyspäiväraha)
Type of employment-conditional benefit		Possibility to combine work and benefit reciprocity
Beneficiaries of employment-conditional benefit		Unemployment insurance benefit recipient working part-time or reduced hours
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No separate duration condition but usual maximum duration condition (adjusted benefit days are converted to full benefit days => the amount of full days accumulates more slowly)
	Child-based condition	No
	Influence of number of children on benefit amount	No (but usual child increases included to the full benefit from which the adjusted benefit is calculated)
	Working hour criterion	Yes, may not exceed 80% of full-time hours
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Upgrading mechanism of the benefit		Full benefit: normal adjustments, there is no index adjustment for earnings disregard (EUR 300 / month)
Benefit calculation	Income assessment unit	Gross earnings
	(Maximum) benefit amount	Adjusted unemployment benefit for taking up part-time work: EUR 300/ month disregard, benefit is reduced by 50% of gross earnings above EUR 300, total income (part-time wage + benefit) cannot be higher than 100% of reference earnings.
	Phase-in rate	--
	Phase-out rate	50 % (see above)

2.1 *Conditions for receipt*

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking full-time work. Persons receiving partial disability pension are entitled to

unemployment benefits even if they are only seeking part-time work. Since 2005 also employees aged 65 to 67 are entitled to allowance during lay-offs (only employees, not for entrepreneurs).

Before 2009 Employment Committees that operated within the employment offices decided on a job applicant's right to an unemployment benefit in certain cases. Since 2009 Employment and Economic Development Offices (former employment offices) decide right to an unemployment benefit in all cases. If the unemployed person, without a justifiable reason, refuses to take on work, which is designated by the employment office and lasts for a maximum of 2 weeks, this results in a 30 day waiting period. If an unemployed person refuses to take on work lasting for more than 2 weeks or declines to enter training that is appropriate for him/her², or if the unemployed person is personally responsible for the fact that no employment agreement is made or if an unemployed person has been in the labour market for less than 6 weeks during the past 6 months without an acceptable reason, the result is a 60-day waiting period.

Unemployed persons bear the obligation of preparing for themselves, together with the employment authorities, a personal job-seeking plan. If the job applicant refuses to take part in preparing a job-seeking plan, he/she will incur a 30-day waiting period. If the person do not attend appointed meeting for drafting job-seeking plan this will result in a 15-day waiting period. After a job-seeking plan has been prepared, refusal to carry out the job-seeking plan also results in a 60-day waiting period.

If the unemployed person resigns from a job without an acceptable reason or is personally responsible for causing termination of the employment contract, this results in a 90-day waiting period. Repeated refusal to take on work or training and reluctance to work can cause a cessation of allowance payments. In such a case, an unemployment allowance is not granted until after three months of work or training.

2.1.1 Employment conditions

26 weeks of work (minimum of 18 hours per week) in the last 28 months. Wage must be according the collective bargaining agreement or if there is no such agreement for the sector, the salary for full-time employment must be at least 1164,75 euros a month (2015) Note: Current salary limit was introduced 2007 and it is adjusted annually by index (80 % wages and 20 % prices). Before 2007 the corresponding limit was 40 times basic daily allowance.

2.1.2 Contribution conditions

Earnings-related benefit: The employment condition has to be fulfilled while being insured as a member of an unemployment fund. Membership of unemployment fund is voluntary.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Basic benefit: EUR 32,80/day (5 days /week).

Earnings related benefit: Basic benefit; plus 45 per cent of daily reference earnings (DRE) in excess of the basic benefit until EUR 144,93; plus 20 per cent of DRE in excess of EUR 144,93 (144,93= 95 * basic benefit / 21.5);).

² Or has resigned or has been discharged from this kind of training

The earnings-related allowance decreased regarding those earning more than 3 116 euros per month. This change applies to persons, whose last working day taken into account in the employment condition is 1.1.2015 or after and whose daily allowance is then determined. Earnings-related component is 45 % of the difference between daily pay and basic allowance. When salary/month exceeds the 95-fold basic allowance (earlier 105-fold), the amount of the earnings-related component exceeding this point of daily pay is 20 %. In these calculations, the daily reference earnings are calculated as follows:

M = gross earnings in the reference year / 12.5 (monthly earnings are calculated here to exclude additional holiday pay included in the APW, hence the division by 12.5 instead of 12; note that in practice the 34 week period needed to fulfil the employment condition is usually used as reference period, excluding additional holiday pay).

$D = M / 21.5$ (21.5 working days /month)

$DRE = D * 95,72$ per cent (the deduction is 60 % of sum of employees' pension insurance contribution (under 53 years old), unemployment insurance contribution and earned income contribution for health insurance). This is done in order to avoid "over compensation" since these contributions are paid from wage and salary income but they are not paid on benefit income. Since 2010 deduction has been even formally connected to the level of social insurance contributions. Previously the deduction was set annually by separate decision of the Ministry of Social Affairs and Health

The earnings related benefit is calculated from the basic benefit excluding the child supplement. The child supplement is then added to earnings related benefit.

Child increase is paid if recipient has children who are under 18 years old. If both parents are unemployed, both receive the basic/earnings related allowance and both receive the child increase. Child increase is paid even if parents are divorced and recipient does not live with children ("recipients biological children"). In addition to this increase is payable if recipient is married or cohabiting and the spouse has children e.g. from previous marriage ("recipients non-biological children").

Child supplement (total)	Rate (in EUR per day*)
1 child	5,29
2 children	7,77
3 or more children	10,02

* Monthly/yearly equivalents are obtained using 21.5 days per month, 12 months per year.

Note that if both parents are unemployed, both receive the basic/earnings related allowance and both receive the child supplement.

The earnings-related allowance can be a maximum of 90 per cent of the daily wage, but at least equal to the basic allowance plus any child increases (applies also to previous years, no change in rules, only addition to text).

2.2.2 *Income and earnings disregards*

If an unemployed person begins to work part-time (including irregular work with reduced working time and full-time employment for a period not exceeding two weeks, or earnings from part-time self-employment), the person is entitled to receive a so called adjusted unemployment benefit. The employee may also be entitled to adjusted unemployment benefit for some other reasons (e.g. if employer changes employment from full-time to part-time). The working hours may not exceed 80 per cent of the working hours of full-time work (change 1.1.2012). The unemployment benefit is reduced by 50 per cent

of gross income exceeding EUR 300 / month (EUR 300 / month disregard. The maximum amount of combined adjusted benefit (including child supplement) and income from part-time work may not exceed 100 per cent of reference earnings. Since 2010 there has been no maximum period for adjusted unemployment benefit.

Persons working shortened work week with correspondingly reduced wage (less than 80 % of regular working time): If working time has been reduced at least one full day the person is entitled for full unemployment benefit during lay-off days. The rule is not applied to persons working reduced hours each day even if the reduced working time is less than 80 % of regular working-time. The rule covers only workers and not unemployed people starting to work shortened work week. The rule was first applied as temporary to lay-off days between 4.1.2010 and 1.1.2012. Since 1.1.2012 the rule was introduced as permanent legislation.

2.3 *Tax treatment of benefit*

Taxable, but of social security contributions only the Health Insurance contribution (for medical care) is levied on the benefits.

2.4 *Benefit duration*

The maximum payment period is 500 days (5 days /week; 100 weeks) after a 5-day waiting period (see also 2.5.2). If the employment record is less than three years maximum payment period of earnings-related benefit is 400 days (100 days will be paid as basic benefit). 100 days will also be deducted from the maximum payment period earnings-related benefit if recipient refuses to participate in an employment promotion measure or terminates a measure during the first 250 days of allowance payment. If there are several separate spells of unemployment during 500 days period only one 5-day waiting period will be applied.

Since 1.1.2010 return condition has been same as employment condition. Previously: since 1.1.2003 34 weeks (before 1.1.2003 43 weeks) of work during the 24-month period (minimum 18 hours a week) fulfils the employment condition for starting a new 500 days earnings-related period, so called "return condition".

The reference earnings are based on the most recent earnings fulfilling the employment conditions. However, the new earnings related benefit level must be at least 80 per cent of the previous benefit level if the employment condition is fulfilled before the 500 days maximum period is exhausted.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

2.5.2 *Older workers or workers with long careers*

Additional days rule

An unemployment allowance can also be paid after the 500-day maximum period for older workers ("additional days rule").

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Persons born in 1950-1954: A person born between 1950 and 1954 can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 59 before the 500 days have accrued.

Persons born in 1955-1956: A person born between 1955 and 1956 can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 60 before the 500 days have accrued.

Persons born in 1957 or thereafter: A person born in 1957 or thereafter can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 61 before the 500 days have accrued.

In addition, in order to qualify for additional days it is required that the person has been in employment with pension entitlement for at least five years during the past 20 years.

Since 1.1.2005 persons receiving allowance after 500 days (i.e. receiving additional days) are entitled to choose old age pension at the age of 62 (pension reduced due to early retirement, pensions schemes not covered here). Since 1.1.2013 the option to choose old age pension at the age of 62 was limited to person born prior to 1958. Those who have chosen old age pension are not entitled to unemployment benefits.

Before 2010 persons receiving unemployment benefit for additional days were entitled to somewhat higher replacement rate if

- if they the claimant had been a member of an unemployment fund for five years
- the claimant had been in employment with pension entitlement for at least 20 years

In these cases the replacement rate in upper income bracket was 32.5 per cent (normally 20 per cent, compare 2.2.1)

The increased rate for additional days was abolished 1.1.2010 (note that simultaneously other changes were introduced that increased benefit rate in upper income brackets recipients of “ordinary” allowance, see 2.2.1).

Increased earnings-related allowance

The earnings-related allowance may be paid as an increased allowance for a maximum of 90 days, if

- recipient has been working for at least 20 years
- recipient has been a member of an unemployment fund for at least five years
- recipient's employment has been terminated, and
- recipient has registered with the Employment and Economic Development Office as a jobseeker within 60 days of the termination of your employment.

Earnings-related allowance is also paid as an increased allowance during participation in an employment promotion measure that was agreed with the Employment and Economic Development Office and included in re-employment plan. The increased earnings-related allowance is paid for a maximum of 200 days. Increased earnings-related component is 58 % (earlier 65 %) of the difference between daily pay and basic allowance. When salary/month exceeds the 95-fold basic allowance (earlier 105-fold), the amount of the earnings-related component exceeding this point of daily pay is 35 % (earlier 37,5 %).

- The increased earnings-related allowance is 58 per cent (normally 45 per cent) of the difference between daily wages (DRE) and the basic allowance. If daily wages (DRE) exceeds upper income limit ($95 * \text{basic benefit} / 21.5$) the increased earnings-related allowance declines to 35 per cent (normally 20 per cent) for the part in excess. I.e. the difference in compensation formula are these two percentages (formula: see 2.2.1 above)
- The rule in determining a normal earnings-related unemployment allowance, which says that the earnings-related allowance can be a maximum of 90 per cent of daily wages, does not apply to an increased earnings-related allowance. The increased allowance can be a maximum of the full daily wage (DRE) but nevertheless equal to the increased basic allowance (see below) plus any child increases

The period of unemployment need not continue without interruption, but there may be periods of employment in between. If there are so many periods of employment that a new employment condition is fulfilled, the days entitling to an increased earnings-related allowance are paid from the unemployment allowance calculated on the basis of the new wage or salary income.

Recipients of basic allowance are entitled to increased allowance with similar conditions (excluding the unemployment fund membership). The increase is EUR 4,78 per day (5 days per week).

2.5.3 *Entrepreneurs*

Unemployment benefits are also payable to entrepreneurs fulfilling conditions for receipt (including conditions for discontinuation of business activity). As with employees entrepreneurs have to be members of unemployment funds in order to be entitled to earnings related benefit. There are separate unemployment funds for entrepreneurs. The earnings related scheme for entrepreneurs is funded by the state and insured (entrepreneurs). Specific details of this scheme are not covered here.

2.5.4 *Other groups, including Disabled*

Most services promoting employment also entitle the participant to additional compensation for expenses (before 2013 name was maintenance allowance), which is payable for training agreed with the Employment and Economic Development Office after 1 January 2010. The compensation for expenses is intended for compensating meal and travel expenses. NOTE: The maintenance allowance has been paid

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since early 1990's. Since 1.1.2010 the coverage of maintenance allowance was extended to several services and studies that previously were not covered.

The compensation for expenses is EUR 9 per day (2004-2009: EUR 8 per day), and the increased compensation for expenses EUR 18 per day. Recipient is entitled to receive increased compensation for expenses if recipient is taking part in services promoting employment outside the travel-to-work area or if recipient has accommodation costs due to participation in a service organised within travel-to-work area. The compensation for expenses is non-taxable income.

The compensation for expenses (EUR 9) and increased compensation for expenses (EUR 18) may be paid for the duration of the following services promoting employment:

- labour market training for adults
- self-motivated study
- preparation for working life
- preparation for job seeking
- self-motivated study for immigrants
- try-out
- rehabilitative work.

Recipients of unemployment assistance benefits (chapter 3) are also entitled to compensation for expenses under similar conditions.

It is possible to receive compensation for expenses and increased allowance simultaneously.

3. Unemployment assistance

Labour Market Subsidy (LMS) is aimed at promoting first time entrants and recipients' re-entry to the labour market.

Overview of the unemployment assistance scheme (see Chapter 3 for more details):

Program name (local name)		Labor market subsidy (Työmarkkinatuki)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		For persons who have exhausted UI benefit and to those who enter labour market
Waiting period (days)		5 (in addition 21 week qualifying period for those who do not satisfy employment condition and have not completed vocational training)
Maximum duration (months)		Unlimited
Upgrading mechanism of the benefit		Labour market subsidy and child increases are adjusted according to prices. Adjustments are carried out normally at the beginning of the year
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	basic flat-rate benefit EUR 32,80/day
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base(1)	--
	Permitted employment and disregards when receiving unemployment assistance benefit	Means test suppressed for older recipients fulfilling employment condition, for those in labor market integration measures (see country chapter for greater details); Adjusted benefit for taking up part-time work: EUR 300/month disregard, benefit is reduced by 50% of gross earnings above EUR 300
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for children under 18
	contract type	0
	other	G: + if participating in a service promoting employment; G: + for older recipients of previous unemployment allowance as no means test applies; G: - partial labour market subsidy for young persons living with their parents (first job).

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

3.1 Conditions for receipt

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking work. Since 2005 also persons aged 65 to 67 are entitled to allowance during lay-offs.

See 2.1. for conditions for unemployed job-seekers generally (“voluntary” job loss, refusal to take on work designated by the employment office etc.).

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The maximum Labour Market Subsidy benefit is equal to the basic unemployment allowance (see Section 2.2.1; since 2002 the child supplements are the same as well).

3.2.2 Income and earnings disregards

The income test is suppressed:

For unemployment allowance recipients aged 55 or more, who at the time they became employed satisfied the employment condition (2015: 26 weeks of employment during the preceding 28 months).

During any period in which the recipient participates in measures supporting his/her integration into the labour market that have been arranged by an employment authority.

Until 31st of December 2012 the income-test was applied to the combined monthly gross income of the recipient and the partner. The partner’s income was excluded until EUR 660 per month (2012). Since 1.1.2013 partner’s income has been excluded totally. The disregarded amount equals EUR 1044 per month for a couples and lone-parents or EUR 311 per month for a single plus EUR 130 per month for each dependent child. The LMS benefit is reduced by 50 per cent of the gross income exceeding the disregard, e.g. child allowance, home care allowance, maintenance support and housing allowance are disregarded from the income test. For single person the LMS benefit is reduced by 75 per cent of the gross income exceeding the disregard.

Example of an unemployed person with spouse (earnings EUR 2 200/month after deducting for work related expenses) and two dependent children:

Spouse’s income in income-test	Disregarded
Recipient’s own e.g. capital income	EUR 558/month
Disregard	1 044 + 2*130 = EUR 1 304 /month
Income exceeding disregard	EUR 0 /month
Reduction of LMS	No reduction

Example of for a single person with additional income EUR 558 / month (e.g. capital income):

Disregard	EUR 311 /month
Income exceeding disregard	558 – 311 = EUR 247 /month

Reduction of LMS	$75\% \times 247 = \text{EUR } 172.9 \text{ /month} = \text{EUR } 172.9/21.5 \text{ per day} = \text{EUR } 8.04 \text{ /day}$
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If a recipient of LMS begins to work part-time (including irregular work with reduced working time), the LMS recipient is also entitled to the adjusted LMS. The rules are same as in earnings related unemployment benefit (see section 2.2.2). Note that both the income-test of adjusted benefit due to earnings from part-time work and the usual income-test above are carried out. First the amount of LMS after usual income-test is calculated as in the above examples. Then, the calculated amount of LMS is reduced by earnings from part-time work according to rules of adjusted LMS. Earnings from part-time work are not included in the income-test.

3.3 Tax treatment of benefit

Taxable, but of social security contributions only the Health Insurance contributions (for medical care) are levied on the benefits.

3.4 Benefit duration

Unlimited. There is a five-day waiting period. If there are separate LMS periods the five-day waiting period is applied only once (until the employment condition is satisfied). First-time entrants to the labour market must complete a 5-month (21 week) qualifying period (unless they have recently graduated from a vocationally oriented educational institute).

3.5 Treatment of particular groups

The so called employment bonus is experimented in some municipalities during 2013-2015 (e.g. Helsinki). The long-term recipient of labour market subsidy will retain this benefit for one month while working.

3.5.1 Young persons

Partial labour market subsidy: For first time entrants to the labour market who live with their parents the labour market is reduced. Since 1.7.2003 the reduction depend on income of parents. If parental income exceeds EUR 1781 per month, the labour market subsidy payable is reduced by 50% of the excess. However, partial labour market subsidy is at least 50 per cent of the amount that recipient would have received without any reduction due to parents income (e.g. at least 50 per cent of the amount that recipient would have received after adjustment for own income from part-time work). The EUR 1781 disregard is increased by EUR 106 per month for each dependent child that parents have (aged 0-17).

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

3.5.2 Older workers

Means-testing for previous unemployment allowance recipients aged 55 or more has been suppressed (see section 3.2.2.).

3.5.3 Increased labour market subsidy and compensation for expenses

The recipient is entitled supplement if recipient is taking part in a service promoting employment. The service must be agreed with the Employment and Economic Development Office within the employment plan or comparable plan. The supplement/increase is EUR 4.78 per day (5 days per week).

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Additional compensation for expenses during services promoting employment: see 2.5.4

3.5.4 *Other groups, including Disabled*

4. Social assistance

Social assistance is a last-resort social benefit. Since 1.1.2008 there has been a single nation-wide basic standard (basic amount, see below). Previously there were two municipality categories.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Social assistance (Toimeentulotuki)
Age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(1)	Basic amount may be reduced if 17-64 year old has not registered as unemployed job applicant (exceptions: employed persons and entrepreneurs, students, people not fit to work etc.)
	Participation in integration measures	Basic amount may be reduced if person refuses to participate in activation/integration measures.
	Active job search(1)	If employment authorities have considered job search activity insufficient for receiving unemployment benefit municipal authorities may reduce basic amount (separate decision)
	Work requirement(1)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	-
	Legal behavioural requirements for adult family members other than the benefit claimant	Behavioural requirements may be applied also to other adult members.
Determination of benefit levels		National
Up-rating mechanism of the benefit		Prices. Adjustments are normally carried out at the beginning of the year.
Other supplements to basic benefit (per family)		
Means-test for social assistance	Earnings disregards	Minimum of 20% of net earnings up to EUR 150 per month per family are disregarded
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes (exceptions)
	Other benefits included in the means test	All other benefits except for disability allowances, pensioner's care allowance, maternity grant, benefit increases that are paid when on activation measures
Benefit provision	age	0

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(eligibility (E), generosity (G)) varies with	family situation	G: + for lone parents and minors, but decreasing with number of children
	over time	0
	other	0

Notes:

1. Conditions for healthy working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme (see Section 4.2.2 for more details):

Program name (local name)		Disregard of income from work in social assistance means test (Toimeentulotuen etuoikeutettu ansiotulo)
Type of employment-conditional benefit		Minimum of 20% of net earnings up to EUR 150 per month per family are disregarded
Beneficiaries of employment-conditional benefit		Working social assistance benefit recipient who has income from work
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Uprating mechanism of the benefit		Minimum amount of disregard is uprated by separate decisions
Benefit calculation	Income assessment unit	Net earnings
	(Maximum) benefit amount	20% of net earnings up to EUR 150 per month per family are disregarded
	Phase-in rate	--See above
	Phase-out rate	--

4.1 Conditions for receipt

It is paid by the local municipality on personal application conditional on passing a means-test. The need for social assistance is judged each time case by case. For a person or a family that applies for social assistance a judgement and a calculation is made by local social welfare staff based on their available income, available assets and factual expenditure entitling to social assistance. Expenditure that gives entitlement to social assistance consists of a basic amount plus an additional amount to cover outgoings which are assessed separately. If this combined amount is higher than the family's available net income, the difference is paid in the form of social assistance. The basic amount is designed to cover the costs of food, clothes, hygiene, transport, information (newspaper, telephone) and minor, everyday health care costs. If housing costs are considered as reasonable they are covered by additional allowance (7 per cent deductible was abolished 1.9.2006). I.e. reasonable housing costs may be covered completely by additional allowance. Other expenditure items that are covered by additional allowance are home insurance, home electricity, children's day care fees and significant health care costs (pharmaceuticals, fees of health centres, doctors or dentists, cost of spectacles).

Since 2006 expenses entitling to additional allowance are divided into "other basic expenses" (not covered by basic amount), and expenses entitling to "supplementary social assistance". The "other basic expenses" include housing costs, home insurance, home electricity and larger health care costs. Expenses entitling to "supplementary social assistance" relate to particular needs and situations of the applicant as stipulated by law. This division is mainly for the shared funding of social assistance by the municipalities and the central government. The central government transfers to municipalities are 50 per cent of the expenditure on basic expenses of social assistance (i.e. basic amount + "other basic expenses"). "Supplementary social assistance" is covered partly by general central government transfers to municipalities for social and health care. These general transfers are computational and are not based on actual expenditure of individual municipality. In 2013 30.96% of the computational costs were covered by central government transfers to local government.

Usually all net income is included into the means-test with specific exceptions stipulated in law (see 4.2.2). Taxes are deducted from the gross income. Available assets are also included into the means-test. There is no asset threshold, but a small part of savings may be disregarded in order to enhance the self-sufficient living of families. Some assets are also excluded from the means-test. These include dwelling if occupied by recipients, furniture, tools for work or studies, etc. The possibility to realise property/assets should also be considered in the means-test.

In most cases household receiving social assistance have other income sources during the reciprocity period and social assistance is often paid to top-up other benefits. In November 2013 only 9 per cent of households on social assistance had no other available income. 41 cent had received labour market subsidy or basic unemployment benefit and 70 per cent had received housing allowance. A typical top-up case is a single long-term unemployed person receiving insufficient primary benefits like labour market subsidy (net of taxes), housing allowance and social assistance. Wage-earning and simultaneous receipt of SA is deemed marginal and relates to transitory situations.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Basic amounts:

Family size	Rate ((in EUR per month)	Per cent of single rate
Single	485,50	100
Lone parent	534,05	110
Couple (per person)	412,68	85
Allowance per child		
Child over 18*	354,42	73
Child 10-17	339,85	70
Child under 10	305,87	63

* Children aged 18 or over, living with their parents constitute their own household when social assistance is calculated (separate means-test).

If there is more than one child (0 – 17) in families the rates will be reduced. The rate of the second child will be 5 percentage points lower (e.g. 70 → 65 per cent or 63 → 58 per cent of single rate) the rate of the third and subsequent child will be 10 percentage points lower (e.g. 70 → 60 or 63 → 53).

In addition to these basic amounts for “everyday living costs”, additional social assistance is granted to cover reasonable housing costs or other costs (such as health care, work-related expenses). See above.

The amount of social assistance may be reduced by maximal 20 per cent if person refuses to accept a work offer or does not participate in training or certain other activating or integration measures. Maximal one-time length of reduction is 2 months. Since 1.1.2011 the social assistance may also be reduced if 18-24 year old person without vocational education refuses to participate in education or drops out from education. If refusal is recurrent social assistance may be reduced by maximal 40 per cent. If social assistance is reduced authorities must, if possible, in co-operation with the recipient, to devise a plan to enhance self-sufficient living of the recipient.

That part of the rent or housing expenditure that is judged to exceed the upper limit for reasonable housing costs in social assistance is not covered. The municipalities can use their own discretion in setting the upper limit for reasonable housing costs in social assistance. Social assistance accepts often higher housing costs than housing allowances due to the last-resort and temporary nature of the benefit. In OECD calculations (non-binding) guidelines used by the city of Helsinki have been used (see appendix 2).³ Guidelines are only general and apply to rental housing and the needs of the family; in some cases even higher cost may be covered (for instance child welfare needs). Note that upper limits presented in the appendix 2 apply only to rent. Reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately. The limits of reasonable housing costs accepted by social assistance are generally considerably higher in Helsinki and in other municipalities of capital area than in other parts of Finland. Using guidelines of Helsinki will thus give significantly more generous picture of social assistance than using the guidelines of some other municipality (cf. assumptions of housing allowance below). Less than one in five (17 %) of all Finnish municipalities accept actual real housing costs as eligible for social assistance. If social assistance is needed for a lengthy period, the client is obliged to seek more economical accommodation.

To calculate the final social assistance benefit amount, the procedure is to compare the net income and available assets from all other sources (including regular housing benefits) to this level. If net income and

³ There was a change in the methodology of the OECD calculations from 2008 onwards. Prior to 2008 all housing costs were covered in OECD calculations when social assistance was calculated. According to law municipalities have all the time (since 1982) used their own discretion how high housing costs are covered.

available assets are below the social assistance level then the actual social assistance that is payable is the difference between the social assistance level and the net income and available assets.

Social assistance can be paid to supplement (top-up) other benefits and other income sources (e.g wage and salary). Most of the recipient households of social assistance have other income sources which social assistance “tops-up”. One typical top-up case is single long-term unemployed receiving labour market subsidy (net of taxes), housing allowance and social assistance

4.2.2 *Income and earnings disregards*

Social assistance: Since April 2005 a minimum of 20% of net earnings up to the maximum amount EUR 150 (/month /family) have been excluded from the income-testing. The law was amended permanently to cover all persons earning income in the family from 1.1.2015 (i.e. /month/individual). Otherwise there are no disregards except for those stipulated by law (see below). Municipalities may disregard some earnings if they are considered to promote the independence of the recipient.

Following cash benefits are disregarded from the income-testing:

- Disability allowance
- Child disability allowance
- Pensioner’s care allowance
- Maternity grant
- Since 1st of January 2013 the increased part of unemployment benefits paid during activation measures is excluded from the income-test of social assistance.
- Compensation for expenses paid during the labour market training, rehabilitation or rehabilitating work experience.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

As long as the means-test is satisfied.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

See section 4.2.1.

4.5.2 *Older workers*

None.

4.5.3 *Other groups, including Disabled*

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5. Housing benefits

There are three income-tested schemes:

- A general housing allowance available to families, couples and single people of limited means.
- A housing allowance for pensioners (not considered).
- An allowance scheme for students (not considered).

Overview of housing benefits (for greater detail refer to Chapter 5):

Regular housing benefits	Program name (local name)		General Housing Allowance (Yleinen asumistuki)
	Entitlement depends on	Household type/size	Yes.
		Income	Yes.
		Dwelling size	No.
		Geographic location	Yes.
		Actual rental cost	Yes.
	Description of regular housing benefit		General housing allowance is amount to 80 per cent of the difference between acceptable housing costs and the basic deductible. Available to families, couples and single people of limited means.
	Uprating mechanism of the benefit		Separate decisions but normally carried out at the beginning of each year
Housing related support through other benefits			Housing costs covered by social assistance; housing allowance schemes for pensioners and students

5.1 Conditions for receipt

Income-tested.

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €400 (€160 in 2002-2004) or decreases by €200 a month or more, or monthly housing costs change by €50 or more
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out
- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

<http://www.kela.fi/web/en/general-housing-allowance>

A new Act on the general housing allowance became effective on 1 January 2015. The general housing allowance is still amount to 80 per cent of the difference between acceptable housing costs and the basic deductible. Following the change, the maximum amount of allowable housing costs is only affected by the municipality in which the home is located and the number of household members. Assistance with housing costs is available for rental, right-of-occupancy, partial-ownership and owner-occupied homes. The home must be habitable or otherwise intended for permanent residential use. It doesn't longer be affected by the year in which the building was built or renovated, the area or the heating system.

As a result of the changes, the deductible tables which were based on the location of the housing and issued annually were abolished. The basic deductible is determined in the same manner in all of Finland. It is calculated using a mathematical formula in which the amount of the deductible is affected by the total amount of the household income and the number of adults and children in the household. The number of children is accorded more weight in the formula.

The effect of a person's assets on the general housing allowance changed. The asset limits were removed and the value of a person's assets doesn't longer count as income. Income from assets, however, continues to affect the amount of housing allowance recipients are entitled to.

Changes were introduced to the system for adjusting the general housing allowance. In future, the allowance is adjusted if the income decreases by €200 per month or increases by €400 per month. Changes in income are taken into account one month later than at present, that is to say as of the beginning of the month following the month as of which the income change has been effective from the first day of the month. For instance, if your income changes on 15 April 2015, your housing allowance will be adjusted as of 1 June 2015. The postponement of the adjustment of allowances paid to the long-term unemployed was abolished.

A new type of assistance with housing costs will be introduced in the form of an earned-income tax deduction of €300, which is made on each household member's total income from paid work and self-employment. When calculating the income affecting the housing allowance, Kela (The Social insurance Institution of Finland) does not take into account the tax deduction. To be introduced on 1 September 2015, the deduction applies to all housing allowance recipients.

In housing allowance only full euros of income are finally taken into account in the income-test. E.g. if total household income from all income sources included in the income-test is € 1065.79 then only € 1065 is taken into account in income-test.

The amount of the basic deductible is affected by monthly gross income reduced by a possible earnings deduction and number of adults and children in the household.

Reference date for all information is **July 1st 2015**

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Single persons who receive full labour market subsidy have no basic deductible. The full rate of allowance is available on an income of €603 plus €100 for each adult and €223 for each child in the household. The limit for the basic deductible and the deductions made on the basis of the number of adult and child household members are checked yearly in line with changes in the national pensions index.

Any basic deductible which is €10 or less is disregarded.

Calculation formula for the basic deductible:

$0,42 \times [T - (603 + 100 \times A + 223 \times L)]$, where

- T = the combined income of the household
- A = the number of adults
- L = the number of children
- 603 is the standard amount in euros.

There are statutory maximum limits on households' housing costs. Any housing costs exceeding these limits are not recognised as housing costs. If the acceptable housing costs of a household exceed the maximum limit for housing costs, they are recognised only up to the maximum limit.

The limits vary by household size and location of the home.

If one of the household members is disabled and needs a particularly large amount of space on account of assistive devices or an outside caregiver, such a household member counts as two persons for the purpose of determining the amount of maximum allowable housing costs.

The maximum housing costs are adjusted yearly to changes in the Statistics Finland rent index.

Maximum allowable housing costs in 2015:

Household size persons	Municipality in category I, € per month	Municipality in category II, € per month	Municipality in category III, € per month	Municipality in category IV, € per month
1	508	492	411	362
2	735	706	600	527
3	937	890	761	675
4	1 095	1 038	901	804
+ each additional person per month	137	130	123	118
Municipalities in category I: Helsinki				
Municipalities in category II: Espoo, Kauniainen, Vantaa				
Municipalities in category III: Hyvinkää, Hämeenlinna, Joensuu, Jyväskylä, Järvenpää, Kajaani, Kerava, Kirkkonummi, Kouvola, Kuopio, Lahti, Lappeenranta, Lohja, Mikkeli, Nokia, Nurmijärvi, Oulu, Pori, Porvoo, Raisio, Riihimäki, Rovaniemi, Seinäjoki, Sipoo, Siuntio, Tampere, Turku, Tuusula, Vaasa and Vihti				
Municipalities in category IV: All other municipalities				

Example: Family of three living in Tampere

Nina and Juuso and their 14-year-old daughter Ursula live in Tampere. They pay €736.48 per month in rent. The income taken into account in Nina's and Juuso's housing allowance amounts to a total of €2,403 per month.

The basic deductible is calculated according to the following formula:

$$0.42 \times [2\,403 - (603 + 100 \times 2 + 223 \times 1)]$$

$$= 0.42 \times (2\,403 - 1\,026)$$

$$= 0.42 \times 1\,377 = \text{€}578.34 \text{ per month.}$$

The maximum allowable housing costs for a three-person household living in Tampere are €761 per month. Because the rent is less than the maximum allowable housing costs, the true housing costs are used as the basis of calculating the housing allowance.

The housing allowance (Housing Allowance = (Reasonable housing costs – basic deductible) x 0,80)) is equal to 80% of the difference between the housing costs and the basic deductible, or $0.8 \times (736.48 - 578.34) = 0.8 \times 158.14 = \text{€126.51 per month}$.

The household has out-of-pocket housing costs of $736.48 - 126.51 = \text{€609.97 per month}$.

5.2.2 *Income and earnings disregards*

The household's monthly income affects the amount of housing allowance. When calculating the amount of housing allowance, various social security allowances are converted into monthly income as follows:

- Unemployment allowances are converted into monthly income by multiplying them by 21.5. Unemployment allowance is paid for an average of 21.5 days per month.
- Other allowances, such as the sickness, maternity, paternity and parental allowances, are multiplied by 25 when estimating monthly income.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Treatment of particular groups, including Disabled*

Students and pensioners have special housing allowances.

5.5 *Eligibility review (addition; applies also to previous years)*

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €400 (€160 in 2002-2004) or decreases by €200 a month or more, or monthly housing costs change by €50 or more)
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out

Reference date for all information is **July 1st 2015**

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- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

Since 1.1.2015 the postponement of the adjustment of allowances paid to the long-term unemployed was abolished.

6. Family benefits

Overview of family and lone parent benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Child benefit(Lapsilisä)	Single-parent supplement to child benefit (Lapsilisän yksinhuoltajakorotus)	Child Maintenance Allowance (Elatustuki)
Type of benefit			universal	universal	universal
Eligibility criteria	Age limits for children (in parentheses if student)		under 17	under 17	under 18
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		none	none	parent liable for child support has not paid mandated child support payments or the child has been adopted by a single parent or the paternity of a child born out of wedlock has not been confirmed
Uprating mechanism of the benefit			CPI adjusted annually on January 1st; paused 2013 - 2015	CPI adjusted annually on January 1st; paused 2013 - 2015	CPI adjusted annually on January 1st;
Benefit amount	Benefit amount per child varies with (where +: increase; -: decrease; 0: no change; +/-: decrease or increase)(1)	Age of child	0	0	0
		Number of children	+	0	0
Means test	Earnings part of means test?		--	--	--
	Earnings disregard		--	--	--
	Withdrawal rate of the benefit		--	--	--
	Assets part of means test?		--	--	--

Notes:

1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.

6.1 *Conditions for receipt*

Child Benefit is paid for children under 17 who are living in Finland. Its amount depends on the number of eligible children in the household. Single parents get a monthly increase of €48.55 per child to the child benefit.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Rates of child benefit since 1.1.2015	
	Rate per child (in EUR per month)
1st child	95,75
2nd child	105,80
3rd child	135,01
4th child	154,64
5th and subsequent	174,27

Following the amendment of the Act on Child Benefits, child benefits reduced by 8.1% per child with effect from 1 January 2015. Single-parent supplements weren't affected.

Since 1.3.2011 rates will be adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The index adjustment of child benefit are suppressed 2013-2015. 1.1.2016 the index adjustment of child benefit was abolished.

6.2.2 *Income and earnings disregards*

Universal, not means-tested.

6.3 *Tax treatment of benefit*

Not taxable.

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including Disabled*

Lone parents: Additional allowance of EUR 48.55 per child per month.

7. Childcare for pre-school children

Parents can choose to place their child in a day-care centre run by the municipality, look after the child themselves with the help of the child home care allowance, or choose the private day care allowance and arrange for child care privately. The parents of all children under official school age (7 years) have the right to a place in day care for their child provided by their local authority. Day care is provided as part-time and full-time care. Also day care around the clock is arranged when needed. Day care can also be organized for children of school age but mostly school-aged children participate in after-school activities. Public day care may be organized through day care centres or as municipal family day care

Child care arrangements vary considerably according to the age of the child. In 2014 40,7 per cent of all 1-2 year old children were in day care. 73,5 per cent of all the 3-5 year old children were in day care. Majority of children in day care use municipal day care (92,5 per cent) (municipal day care centre or municipal family day care). Almost all six-year-old children take part in pre-school education. 71 per cent of the pre-school aged children also attend day care.

Day care fees cover only a small part of the total costs of municipal day care (about 14% in year 2012).

7.1 Out-of-pocket childcare fees paid by parents

The public day care fees are income related; the higher the family income, the higher the fee. The fee is a portion (percentage value) of the family income exceeding the income limit until the maximum amount is reached. These limits and percentages depend on family size. In addition to parents children under 18 are included in the family definition. The amounts and income limits were revised 1.8.2014 according to indexation rules. According to the rules the revision is made every two years. The next revision will take place 1.8.2016.

All the amounts in the following table are monthly: The grounds for public day care fees 1.8.2014-31.7.2016

<i>Family size, persons</i>	<i>Income limit, in EUR per month</i>	<i>Per cent of income exceeding the limit</i>
2	1355	11.5
3	1671	9.4
4	1983	7.9
5	2116	7.9
6	2248	7.9

If the family size is over six persons EUR 133 is added to income limit for each additional person.

If there are more than two children in the same family in the public day care, the fees of the third and subsequent children are 20 per cent of the fee for the first child. The maximum fee for the first (the youngest) child is EUR 283 /child /month. For the second child the maximum fee is EUR 255 /child /month. If the day care fee of a child amounts to less than EUR 26 it is not paid.

Example (with rates applicable 1.8.2014-31.7.2016): A couple with three children all in day care. Gross income EUR 6000 /month. Family type is 5 => $(6000 - 2116) * 7.9 \% = 306,84$. Fee for the first child : $\min(306,836,283) = 283$ €/month. Fee for the second child: $\min(306,83,255) = 255$ €/month. Fee for third child: $20\% * 283 = 56,60$ €/month

If the child is in the day care for five hours or less per day then the day care is classified as part-time care and fees should be adjusted accordingly. There are no strict rules for this, but 60 percent of the fee for the full-time care is the current estimate of the average adjustment. The fees for the third and subsequent child are calculated in relation to the full-time equivalent fee of the first child even if the first child only uses part-time care.

Income definition in the income-test of the day care: All income (gross) except certain benefits and grants. Of the benefits that are disregarded child allowance, home care allowance, housing allowance and social assistance are relevant here. If family pays maintenance payment to other household this is deducted from the income. Note that both maintenance support and received maintenance payment are included in income.

7.2 Child-care benefits

7.2.1 Conditions for receipt

For families with children under three years old who do not use public day care, there is a home care allowance, which includes a care allowance and a care supplement. In addition to the home care allowance, there is private day care allowance for those who use private day care for children under 7 years old.. Since 1.4.2007 it has been possible for family to receive private day care allowance and home care allowance simultaneously (i.e. private day care allowance for a child in private care and home care allowance for another child not using public day care or private day care).

7.2.2 Calculation of benefit amount

The home care allowance is EUR 342,53 per month for the first child under three years old, EUR 102,55 per month for other children under three years old and EUR 65,89 per month for children between three and six years old (i.e. under school age). Home care supplement is income-tested. The maximum amount is EUR 183,31 per month and it is payable for only one child. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The price indexation does not cover income limits.

When the family type is determined, only children entitled to day care are included with maximum of two children (i.e. children under school age after the parenthood period of parents irrespective of their actual use of day care). The home care supplement decreases as the income exceeding income limit increases. There is no similar income disregard for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

The home care allowance supplement 2015

Family size (parents + children < 7, max 2)	Income limit (in EUR per month)	Reduction of care supplement, per cent of income exceeding income limit
2	1 160	11.5
3	1 430	9.4
4	1 700	7.9

Private day care allowance can be claimed by a family whose under-school-age child is looked after by a nanny hired by the family or by a private day care provider. The rates and rules of private day care allowance are somewhat different from home care allowance. The private day care allowance consists of a basic allowance and an income-tested supplement, which both are paid for each eligible child. The basic

allowance is EUR 174,38 /child /month and the supplement is at most EUR 146,64 /child /month. Note that unlike in home care allowance the supplement is paid for each child entitled to private day care allowance.

The income criteria and limits of supplement are the same as those that apply to home care allowance care supplement.

If the child attends a part-time pre-school arranged by the municipality one year before starting school, or if the child starts school one year early (at age 6), or if the child is within the extended compulsory education system and in his/her first year of school, the private day care allowance is paid at a rate of €64,16 per child/month, and the amount of the care supplement is halved from its normal rate.

The private day care allowance is paid directly to service provider and is also taxed as the income of the service provider. The allowance is not paid if a relative or some other individual looks after the child without a formal employment contract or charges no fee for his/her services. However, if the child is under three years old, the parents can apply for child home care allowance. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January.

Some municipalities, especially in the metropolitan area, pay additional supplements to home care and private day care allowances. The rates and eligibility rules vary.

The rates of municipal Helsinki supplement for home care allowance since 2014 (since 1.3.2011):

- 264.00 €/month if there is a child under 1½ years old in family
- 218.64 €/month if there is a child 1,5-2 years old
- 134.55 €/month 2 years old (but under 3 years).

The municipal Helsinki supplement for home care allowance is paid for the family, i.e. only for the youngest child.

The rates of municipal Helsinki supplement for private day care allowance in 2015

		€/month
IPDC	under 3 years old	500
IPDC	3 years old or older	330
PFDC	under 3 years old	300
PFDC	3 years old or older	160
CMLC	under 3 years old	500
CMLC	3 years old or older	160

IPDC = Institutional private day care

PFDC = Private family day care

CMLC = Day care by childminder with labor contract

The private day care Helsinki supplement is paid for each child. The supplement is paid only for full-time care (25 hours or more per week). There is additional supplement of 60 €/family for those families who receive income-tested private day care allowance supplement.

7.2.3 *Income and earnings disregards*

In home care allowance and private day care allowance there are no similar income disregards for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

7.3 *Tax treatment of benefit and interaction with other benefits*

Child home-care allowance is taxable income. The private day care allowance is taxed as the income of the provider of the day care services. If the recipient of home care allowance is not personally taking care of the child and the spouse receives unemployment benefit the home care allowance is deducted from the unemployment benefit. If the recipient of home care allowance is personally taking care of the child the allowance is not deducted from the spouses unemployment benefit.

7.4 *Benefit duration*

As long as the conditions are satisfied.

7.5 *Treatment of particular groups*

See 11 for flexible and partial care allowances.

The care of a disabled or chronically ill child can involve additional expense and often requires families to make special arrangements. To support care at home, eligible children who are aged 16 or less and live in Finland are entitled to child disability allowance. The allowance is paid without regard to the parents' or the child's income or assets. It is free from tax and payable at three rates depending on the need of care and rehabilitation and the economic burden related to this. In 2015 the rates were EUR 93,28, 217,66 and 422,06 month.

Special care allowance is payable to parents who take part in treatment or rehabilitation arranged for their child. Special care allowance is generally payable only for maximum of 60 days for per child in a calendar year.

8. Employment-conditional benefits

Low income earners in Finland are eligible for an earned income allowance. See section 10.1.2.

9. Lone-parent benefits

Lone parents receive an additional supplement to child benefit (see section 6). Also a child of lone-parent receives maintenance allowance when the person liable to pay maintenance payment neglects this duty. A child is entitled to maintenance allowance even when the paternity has not been confirmed. The maintenance support is EUR 155,17 /child /month in 2015. Since 1999 the rate has been the same also for remarried providers. There is no means-test. The maintenance support is not taxable. Since 1.1.2012 the basic amount of social assistance for lone-parents has been 10 per cent higher than for single persons. See 4.2.1.2

10. Tax system

It consists of a central government tax, a local government tax and social security contributions.

10.1 Personal Income Tax Systems

10.1.1. Central government income taxes

Tax unit

Spouses are taxed separately for earned income.

Standard tax allowances

Standard tax allowances.

Work-related expenses: a standard deduction for work-related expenses equal to the amount of wage or salary, with a maximum amount of EUR 620 is granted.

Rate schedule

Central government income tax.

Taxable income (EUR)	Tax on lower limit (EUR)	Tax on excess income in bracket (%)
16 500 – 24 700	8	6.5
24 700 – 40300	541	17.5
40300 – 71 400	3 271	21.5
71 400 – 90 000	9957.5	29.75
90 000 and above	15491	31.75

Tax credit

An earned income tax credit is granted against the central government income tax. If the credit exceeds the amount of central government income tax, the excess credit is deductible from the municipal income tax and the health insurance contribution for medical care. The credit is calculated on the basis of taxpayers' income from work. The credit amounts to 8.6% per cent of income exceeding EUR 2 500, until it reaches its maximum of EUR 1025. The amount of the credit is reduced by 1.2% per cent of the earned income (earned income = non-capital income including also pensions, daily allowances) minus work related expenses exceeding EUR 33 000. The credit is fully phased out when taxpayers' income is about EUR 119 000.

Child tax credit:

The credit is granted to taxpayers who have children in their care and custody according to the Population Register System records. It is given for four children at most. All parents and custodians get it regardless of which one of them has the child(ren) living with them. The size of the child tax credit depends on the number of children and whether the taxpayer has joint custody or single custody: for joint custody the credit is 50 EUR per year and child, and for single custody it is 100 EUR per year and child. If net taxable income exceeds €36,000 per year (earned income and capital income combined), the credit is reduced. For

the part of the income exceeding the threshold, the amount to be credited is phased out by a one percentage point rate. The child tax credit is will be in force from 2015 through 2017.

Broadcasting Tax

In January 2013 a new public broadcasting tax was introduced to finance the activity of the national public service broadcasting company. The tax is 0.68 per cent on taxable earned income, taxes of minimum EUR 51 and maximum EUR 143. No taxes are payable if your income is below 7352.95 EUR per year.

10.1.2. Local income tax

Tax base and tax rates

The tax base of the local income tax is taxable income as established for the income tax levied by central government.

Municipal tax is levied at flat rates. In 2015 the tax rate varies between 16.5 and 22.50 per cent, the average rate being approximately 19,84 per cent.

Municipal tax is not deductible against central government taxes. Work-related expenses and other non-standard deductions are deductible, as for purposes of the central government income tax.

Allowances in municipal income taxation

- An earned income allowance is calculated on the basis of taxpayer's income from work (income from work= wages and salaries and non-capital entrepreneurial income). The allowance amounts to 51 per cent of income between EUR 2 500 and EUR 7 230, and 28 per cent of the income exceeding EUR 7 230, until it reaches its maximum of EUR 3 570. The amount of the allowance is reduced by 4.5 per cent on earned income minus work related expenses exceeding EUR 14 000 (earned income = non-capital income including also pensions, daily allowances).
- A basic allowance is granted on the basis of taxable income remaining after the other allowances have been subtracted. The maximum amount, EUR 2 970, is reduced by 18 per cent on income exceeding the aforementioned amount.

10.2. Compulsory Social Security Contributions to Schemes Operated within the Government Sector

10.2.1. Employees' contributions

Rate and ceiling

The financing of the National Health Insurance underwent a major change on 1 January 2006 with the splitting up of the scheme into two components: earned income insurance and medical care insurance.

The contribution base of the earned income contribution for health insurance (for daily allowance) is gross earnings. In 2015 the rate is 0.78 per cent of gross wage (different rules for entrepreneurial income). This contribution is deductible in taxation (cf. employees' pension insurance and unemployment insurance contributions below).

The tax base for the health insurance contribution for medical care insurance is net taxable income for municipal income tax purposes. In 2015, the rate of the health insurance contribution for medical care insurance is 1.32 per cent. There is additional 0.17 per cent contribution for those incomes that earned income contribution for health insurance is not payable (e.g. pensions, daily allowances). The income base for additional contribution is the difference between taxable income for municipal income tax purposes and earnings for earned income contribution for health insurance (i.e. gross wage here). If earnings for earned income contribution for health insurance are higher than taxable income for municipal income tax purposes then there is no additional contribution.

There are also an employees' pension insurance contribution and an employees' unemployment insurance contribution. Employees' pension insurance contribution which amounts to 5,7 per cent of gross salary for those who are under 53 years old (- 52) and 7,3 per cent for those who are 53 years old or more (53+). Employees' unemployment insurance contribution equals to 0.5 per cent of gross salary. These contributions are deductible for income tax purposes.

10.2.1. Employers' contributions

The average rate of the employers' social insurance contributions in 2013 is 23.06 per cent of gross wage.

11. Part-time work

11.1 Special benefit rules for part-time work

See section 2.2.2 (adjusted unemployment benefit).

Flexible care allowance for parents of children under 3

A father or mother who participates in the care of a child under 3 years of age and works no more than 30 hours per week on average may be entitled to a flexible care allowance.

Eligibility

The flexible care allowance can be paid to

- the father, mother or other provider of a child under 3 years of age (this also applies to adoptive and same-sex parents)
- both parents at the same time if they make work arrangements that allow them to look after the child at different times (e.g. one parent on Mondays and the other on Fridays).
- a parent who does not live in the same household as the child.

The flexible care allowance can be paid to a parent who

- works no more than 30 hours per week on average or no more than 80% of normal full-time hours
- has an employment contract with a public- or private-sector employer
- is self-employed or a farmer insured under the YEL (Self-Employed Persons') or MYEL (Farmers') Pensions Acts.
- is a grant recipient and insured under the MYEL Act.

The flexible care allowance cannot be paid to a parent who

- is paid special maternity, maternity, paternity or parental allowance
- looks after the child personally and is paid home care allowance

It is possible to use public day care or receive private day care allowance simultaneously with flexible care allowance.

The amount of the flexible care allowance is (2015)

- 244,18 euros per month if the recipient works no more than 22.5 hours per week or no more than 60% of normal full-time hours
- 162,78 euros per month if the recipient works more than 22.5 hours or more than 60% but no more than 80% of normal full-time hours.

Parents of first- and second-graders (usually 7-8 years old) are entitled to partial Care Allowance. The allowance amounts to EUR 98,09 per month (2015).

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2014 – 1st July 2015

Earnings-related unemployment benefits were revised from the 1st of January 2015. The upper limit for 45 percent replacement rate of earnings-related benefit was lowered. Increased rates of earnings-related benefit were lowered. Unemployed persons have to accept job offers outside 80 km commuting area as long as daily commuting time is 3 hours or less (additional conditions).

Child benefits were cut by 8.1 percent from the 1st of January 2015. New child deduction in taxation was introduced. The deduction will be made from taxes and the amount of deduction will decrease with higher incomes. The child deduction will be in force 2015-2017.

An amendment of Basic Education Act came into force 1st January 2015. Attendance at pre-primary education of 6-year-old children was made obligatory from 1st of August 2015.

The maximum disregard of income from work in social assistance was individualized from the 1st of January 2015. Simultaneously the disregard was introduced as permanent legislation.

General housing allowance rules simplified. A new Act governing the general housing allowance entered into force on 1 January 2015. The general housing allowance continues to be equal to 80% of the difference between a basic deductible and acceptable housing costs not exceeding a maximum amount. The maximum amount of acceptable housing costs is only affected by the location (the municipality) of the housing and the number of household members. It doesn't longer be affected by the year in which the building was built or renovated, the area or the heating system.

Integration assistance to become labour market subsidy. Integration assistance for immigrants was converted into labour market subsidy.

Most of the benefits provided increased by 0.4 percent in January 2015. No index adjustment applied to child benefits, which were instead cut by 8.1%.

12.2 Future policy changes announced since 1st July 2015⁴

An earnings deduction of EUR 300 was introduced for housing allowances on 1 September 2015. It is made on each household member's total income from paid work and self-employment.

Contributions to the National Health Insurance scheme will be collected from private-sector employers at a rate of 2.12% in 2016 (up from 2.08% in 2015). The contribution rate payable by insured employees is 2.12% of wages (2.10% in 2015), of which 0.82% goes towards daily allowances and 1.30% towards medical care. For self-employed persons, the contribution rate in 2016 is 2.25% of self-employment income. This breaks down as 0.82% towards daily allowances and 1.30% towards medical care. The additional financing levied from self-employed persons will remain at its 2015 level, 0.13%. It applies to self-employed persons with coverage under the Self-Employed Persons' Pensions scheme. Benefit recipients pay 1.47% of their pension or other benefit income towards the National Health Insurance scheme, down slightly from 2015 (1.49%).

⁴ Some of the changes that are presented here may not have been ratified and their reading in Parliament may be unfinished or not even started.

Reference date for all information is **July 1st 2015**

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The minimum rates of maternity, paternity and parental allowances will be reduced by 0.4% at the turn of the year, from €24.02 to €23.93 per day. The Government proposes that the increased rate of allowance paid for 30 days should be eliminated and that the earnings replacement rate should be reduced to 70% from 75%. The change applies to maternity, paternity and parental allowance payments beginning on or after 1 January 2016.

The Government proposes a number of changes to the Early Childhood Education and Care Act and to the private day care allowances scheme. Under the proposal, starting from 1 August 2016 pay private day care allowance at a lower rate (€63.93 per month) if the child is entitled to 20 weekly hours of early childhood education and care (day care). If there is an entitlement to more than 20 weekly hours of education and care, a higher rate of private day care allowance (€173.74 per month) would be paid.

Child benefit payments decoupled from the national pension index starting 1.1.2016. This will keep the euro amount of child benefits at the same level as in 2015.

Since 1.1.2017 the administration of basic allowance of social assistance will be transferred to Social Insurance Institution (SII/Kela). Municipalities will still administer supplementary and preventive social assistance. There will be some changes in expenses included basic allowance of social assistance. The funding of social assistance will remain unchanged.

Annex 1. Reasonable rent, for social assistance

The table below contains the values considered as a reasonable rent for standard rentals in Helsinki between 200 and 2015. These are internal municipal non-binding guidelines and they are used for judging individual and family social assistance.

Persons in household	Rent, EUR* / month									
	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009
1	437	490	490	520	520	520	520	520	560	560
2	589	600	600	600	600	600	600	600	665	665
3	706	710	710	710	710	710	710	710	800	800
4	774	820	820	820	820	820	820	820	910	910
5	900	900	900	900	900	900	900	900	1100	1100
6	984	990	990	990	990	990	990	990	1200	1200
7	1068	1100	1100	1100	1100	1100	1100	1100	1300	1300
8	1152	1200	1200	1200	1200	1200	1200	1200	1400	1400

Persons in household	Rent, EUR* / month									
	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
1	600	620	650	650	650	675				
2	700	740	770	770	770	800				
3	810	850	895	895	895	925				
4	920	1010	1035	1035	1035	1053				
5	1100	1200	1225	1225	1225	1225				
6	1200	1320	1345	1345	1345	1345				
7	1300	1430	1460	1460	1460	1460				
8	1400	1540	1570	1570	1570	1570				

In addition to these amounts reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately as deemed necessary.